TEACHER GUIDE

High school business

# Cash flow



A review lesson. Students run a car dealership in firms of four and review cash flow on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

45-minute setting

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

# What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal inventory

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Profit on this deal

Round 1

They pay you in 30 days.

**Profit on this deal?**

| | |
|---|---|
| Cars in the deal | **2 cars** |
| You buy them today, in total | **$28,000** |
| Prep and delivery, per car | **$300** |
| Customer pays in total | **$34,000** |

**ANSWER**

**$5,400**

$34,000 − $28,000 − 2 × $300 = $5,400

**Why:** $5,400 profit, but $28,600 is out of your cash for 30 days.

## 2 Improve cash flow

Round 1

Your bank balance is low. Customers take 60 days to pay you.

**Which two would improve your cash flow?**

- **A** Ask suppliers for longer to pay
- **B** Pay suppliers early for goodwill
- **C** Buy more cars now to sell later
- **D** Give customers 90 days to pay
- **E** Ask customers to pay sooner

**ANSWER**

**✓ Ask suppliers for longer to pay**
**✓ Ask customers to pay sooner**

**Why:** Cash comes in sooner or goes out later; the other three take cash out sooner.

## 3 Forecast in order

Round 2

You fill in one month of your cash-flow forecast.

**In what order do you work it out?**

- **A** Work out net cash flow: in minus out
- **B** Carry it forward to open next month
- **C** Write in the closing balance
- **D** Add net cash flow to the opening balance

**ANSWER**

1. **Work out net cash flow: in minus out**
2. **Add net cash flow to the opening balance**
3. **Write in the closing balance**
4. **Carry it forward to open next month**

**Why:** Net cash flow first; add the opening balance; the closing balance carries over.

# Topic tasks

## 4 Month-end balance

Round 2

A two-month deal.

**Balance at the end of month 1?**

| | |
|---|---|
| Set aside for this deal | **$25,000** |
| Month 1: you buy the cars | **$49,500** |
| Month 1: customer deposit | **$11,500** |
| Month 2: rest of the price | **$45,500** |

**ANSWER**

**−$13,000**

$25,000 − $49,500 + $11,500 = −$13,000

**Why:** Month 1 is short by $13,000. Month 2 brings $45,500.

## 5 Cash now or later

Round 3

Your bank balance is low. A taxi firm pays $30,000 today; a rental firm pays $31,000 in 90 days.

**Which deal should you take, and why?**

**A** The taxi firm: $30,000 today

**B** The rental firm: $31,000 in 90 days

**ANSWER**

**✔ The taxi firm: $30,000 today**

**Why:** With cash short, money today matters more than $1,000 more in 90 days.

## 6 Month-end balance

Round 3

Paid in months 2 and 3.

**Balance at the end of month 2? Minus if below zero.**

| | |
|---|---|
| Set aside for this deal | **$15,000** |
| Month 1: you buy the cars | **$42,000** |
| Running costs, each month | **$400** |
| Price, paid in halves | **$53,000** |

**ANSWER**

**−$1,300**

$15,000 − $42,000 − 2 × $400 + $26,500 = −$1,300

**Why:** Month 2 is still short: the other half comes in month 3.

# Final questions

Each student answers 6 final questions. They come from these 10 questions on cash, profit and sales tax.

1. You sell an EV city car to a customer for $11,000. In Indiana the customer pays 7% sales tax on top of the price. How much cash comes into your firm from this sale?
   ✔ **$11,770**

2. This round your firm sold cars to customers for $10,000, $17,000 and $21,000, and sold a Forklift to another dealer for $14,000. How much sales tax does the round's return ask for?
   ✔ **$3,360**

3. Your cash is $100,000 and your firm owes $2,100 of sales tax it has not filed yet. How does this affect the firm's net position?
   ✔ **It is $2,100 lower: unpaid sales tax is a debt and is subtracted**

4. Who pays the 7% sales tax on a car your firm sells to a customer?
   ✔ **The customer pays it on top of the price; your firm collects it and pays it to the Indiana Department of Revenue**

5. You bought a Panel van for $15,000 and sell it to a customer for $18,000. What is your gross profit on the van?
   ✔ **$3,000**

6. Your firm misses the round's sales tax return with $1,800 due. The late charge is 10% of the tax due, at least $5. What happens?
   ✔ **A $180 charge, and the $1,800 is still owed**

7. Cash $40,000, inventory at cost $30,000, investments $10,000, loans $25,000 and unpaid sales tax $1,400. What is the net position?
   ✔ **$53,600**

8. Why can a firm's cash look higher than the money it can really keep?
   ✔ **It holds sales tax collected from customers that belongs to the state until the return is filed**

9. A customer buys two Scooters 125cc at $3,900 each. How much sales tax does the customer pay?
   ✔ **$546**

10. Your firm collected $2,450 of sales tax this round and files the return on time. Cash before filing is $52,000. What is the cash after filing?
    ✔ **$49,550**